OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Letter asks Mayor White to explain evidence behind Shoalhaven's proposed property sales

Sent 31 July 2026 · To Mayor White, Shoalhaven City Council · Response requested by 21 August 2026

31 July 2026

Dear Mayor White,

Your interview with ABC Illawarra on 30 July raised important questions about Shoalhaven City Council's proposed reclassification and possible sale of properties presently used by Nowra Youth Services, Safe Shelter Shoalhaven, NOAH's Inclusion Services and other community organisations.

These decisions involve publicly owned land, essential community services, and a proposed property sales program reportedly expected to generate substantial revenue. Residents are entitled to understand the evidence, criteria and alternatives considered by Council.

Eye on Shoalhaven Council invites you to provide an on-the-record response to the following matters.

The figures used in the ABC interview

During the interview, you said Council had 246 buildings, of which 160 were leased to community not-for-profit organisations. You also referred to approximately $1.9 million in subsidised rent and approximately $4 million a year in maintenance costs.

These figures appear to be central to the case being made for reducing Council's property holdings. However, we have not located them in the publicly available reports, agendas, policies, financial statements or property registers reviewed for our article.

Please identify:

The Council report, database, briefing paper or other document from which each figure was derived.

Whether the $1.9 million represents actual expenditure, forgone market rent, a valuation estimate, or some other accounting measure.

Whether the $4 million relates specifically to the 160 community tenancies, all 246 buildings, or Council's broader property portfolio.

Whether Council will publish the underlying calculations, including the rent, market valuation, maintenance expenditure and subsidy attributed to each property.

Publishing this material would allow the community to assess the figures fairly and would reduce speculation about how they were calculated.

Muir House and the renewal of subsidised leases

Council stated in June 2024 that Muir House at 10 Prince Alfred Street, Berry, was leased to the Berry Community Activities Centre at what Council described as a "peppercorn rent". The property was then associated with Council's land-sale investigations.

On 23 September 2025, you moved the successful resolution renewing two leases over the Muir House properties for a further two years, at a combined annual rent of $13,418 excluding GST, together with specified outgoings.

There is no suggestion that the Berry Community Activities Centre has acted improperly. It is a registered charity undertaking valued community work. The question concerns the consistency of Council's property policy.

Please explain:

What circumstances or assessments led you to support renewal of those leases in September 2025.

Whether the financial subsidy, maintenance liability and opportunity cost associated with Muir House were calculated before the renewal was approved.

Why Muir House was included in the earlier land-sale process but is not included in the current group of properties being progressed towards possible sale.

Whether Muir House was assessed under the same criteria applied to the properties occupied by Nowra Youth Services, Safe Shelter Shoalhaven and NOAH's Inclusion Services.

How the properties were selected

The available record shows that Council has continued to approve subsidised leases, statutory-minimum rents and fee waivers for a range of community organisations, including sporting clubs, historical organisations and community facilities.

Many of those decisions may be entirely justified. They nevertheless demonstrate that Council continues to recognise the public value of supporting community organisations through below-market occupation of Council property.

Please explain:

The objective criteria used to determine which community properties should be retained and which should be considered for sale.

Whether those criteria include the nature of the service, the vulnerability of its clients, alternative premises, replacement cost, social value, maintenance condition, land value

and the ability of another level of government to fund the service.

Whether a comparative assessment or scoring document exists for the properties considered under item CL26.157.

Whether that comparative assessment will be released publicly.

Why the Berry car park at 77 Princess Street was deferred following community representations, while requests for further consideration of the youth, homelessness and disability-service properties were not supported by the majority.

The fact that a community successfully argues for a deferral does not itself establish inconsistency. The community should nevertheless be told what material difference justified the different outcomes.

Contact with affected organisations

In the ABC interview, you referred to restrictions on councillor briefings and suggested those restrictions affected councillors' capacity to engage with the organisations concerned.

The relevant Council report was considered in open business and became publicly available when the business paper was released.

Please explain:

When you first became aware that the properties occupied by Nowra Youth Services, Safe Shelter Shoalhaven and NOAH's Inclusion Services were included in the proposal.

Whether you received any briefing, written information or advice from Council staff about item CL26.157 before the meeting.

Whether the June 2026 meeting-practice regulation permitted the Mayor to receive briefings or information that might not have been available to other councillors.

What, if anything, prevented you or other councillors from contacting the affected organisations after publication of the business paper and before the meeting.

Whether Council staff contacted the affected organisations before the recommendation was placed before councillors.

Whether Council will now provide each affected organisation with a formal opportunity to present a business case, service-impact assessment and alternative proposal before any final decision to reclassify or sell the land.

The notice period for business papers

You told ABC listeners that councillors previously received business papers more than 12 days before a meeting but now received them only four days before.

The Local Government Act establishes a statutory minimum notice period, while Council's own code and administrative practices may provide longer periods.

Please clarify:

Whether the former 12-day period was required by legislation, required by Council policy, or simply Council's administrative practice.

What specific state-government change reduced the period available to Shoalhaven councillors.

Whether Council itself retains the ability to publish significant property, financial and strategic reports earlier than the statutory minimum.

Whether you support introducing a longer minimum publication period for major matters involving community land or the possible displacement of essential services.

The condition and useful life of the buildings

You said buildings constructed during the 1970s and 1980s were approaching the end of their lives.

Council's audited financial statements assign different useful-life ranges to different classes of buildings. The condition of an individual building cannot be determined from its age alone.

Please provide:

The construction classification, current condition rating and remaining useful life recorded for each affected building.

The most recent structural, electrical, fire-safety, accessibility and building-condition assessments.

The estimated cost of bringing each building to an acceptable service standard.

The estimated cost to Council and the community if the services must relocate or purchase replacement premises.

Confirmation of whether Council has revised the accounting useful life or impairment value of any building it considers to be at or near the end of its serviceable life.

The recent replacement or upgrading of an electrical switchboard may indicate that a component required renewal. It does not, without further engineering evidence, establish that the entire building has reached the end of its useful life.

Alternatives to sale

In February 2025, Cr Kaye Gartner Tribe moved that Council examine profit-sharing arrangements for community groups in lieu of steep increases in base rent. The motion

was defeated, and you voted against it.

Please explain:

Why you did not support that proposal being examined by staff.

What alternatives to sale have since been examined for the affected properties.

Whether Council has considered long-term leases with maintenance obligations, shared occupation, partial commercial use, grant-funded renewal, service agreements, asset transfers, state or federal contributions, community ownership models, or sale-and-leaseback arrangements.

Whether Council has formally approached the NSW or Australian governments for financial assistance before progressing the properties towards sale.

Whether Council has quantified the social and financial costs that could be transferred to other government agencies if homelessness, youth and disability services are disrupted.

The consultation figures

During the interview, you referred to approximately 29,000 submissions concerning the Community Infrastructure Strategic Plan.

Council's published information distinguishes between more than 2,400 participants or submissions and more than 29,200 individual responses to the many recommendations contained in the consultation process.

Please clarify:

Whether you accept that approximately 29,200 was the number of individual responses rather than the number of separate submissions.

How Council has taken account of the reported preference of many respondents for improving existing facilities rather than constructing replacements.

Whether the Community Infrastructure Strategic Plan was used to assess the properties in CL26.157 and, if so, how.

Asset-management planning

You also said that Council's asset-management plans were not renewed between 2014 and 2024.

Council published resourcing and asset-management material during that period, including documents identifying a substantial infrastructure backlog and a renewal ratio well below the relevant benchmark.

Please clarify:

Whether you meant that no documents were published, that existing plans were inadequate, or that particular asset-management plans were not formally reviewed or adopted.

Which specific plans were missing, expired or non-compliant during that period.

Whether councillors were advised of the infrastructure-renewal shortfall in earlier resourcing strategies and annual financial reporting.

The distinction matters. A failure to identify a problem is different from identifying it but failing over time to fund or implement the required response.

Revenue and financial sustainability

You characterised the current process as neither a cost-saving measure nor a revenue-raising measure.

Council's public material places property sales within its financial-sustainability program, and the proposed sales have been associated with an estimated gross return of approximately $14.4 million.

Please explain:

How the statement that this is not a revenue-raising measure should be reconciled with the projected sale proceeds.

How much of the projected proceeds would be absorbed by rezoning, subdivision, remediation, relocation, legal, valuation and selling costs.

Whether proceeds would be restricted to asset renewal, debt reduction or replacement community infrastructure, or could be used for ordinary operational expenditure.

Whether Council has calculated the net present value of retaining each property compared with selling it.

Whether a final sale decision will return to an open Council meeting with updated valuations, net proceeds, tenant impacts and proposed use of the money.

Consistency and public confidence

The central issue is not whether Council should ever sell land or reconsider subsidised leases. Council has an obligation to manage public assets responsibly.

The issue is whether the same principles are being applied consistently and transparently.

Council has recently supported low-cost occupation by several sporting, cultural and community organisations. At the same time, properties used for youth, homelessness and disability services have been placed on a pathway that could ultimately lead to their sale.

That difference may have a defensible explanation. If so, the evidence and reasoning should be made public.

Accordingly, will you support:

Publication of the complete property assessment used to select the affected sites.

Publication of the calculations supporting the $1.9 million subsidy and $4 million maintenance figures.

Direct consultation with every affected organisation before the reclassification process advances.

A report examining alternatives to sale and the costs of relocating or disrupting each service.

A final decision being made separately for each property rather than as a bundled group.

A recorded division on each final reclassification or sale decision.

We will publish your response in full, subject only to reasonable editing required for length, legal compliance or the removal of personal information. Should any factual premise in these questions be incorrect, please identify the error and provide the supporting document so that the public record can be corrected promptly.

This letter makes no allegation of corruption, personal benefit, unlawful conduct or improper influence against you, any other councillor, Council staff or any community organisation. It seeks documentary answers about the consistency, evidentiary basis and public-interest consequences of decisions concerning publicly owned land.

Given the significance of the matter, a substantive response would assist residents to understand Council's position and would provide you with a direct opportunity to correct or contextualise the conclusions drawn from the presently available record.

Yours sincerely,

Steve Prothero
Editor
Eye on Shoalhaven Council